

READING / RESEARCH NOTE

THE META DOSSIER v1 (run-analyst-metadossier1), 2026-08-23

The coverage-model pilot. Filed by the chair; the full dossier with all tables is verbatim in the run record. Verdict: **INSTRUMENT PROVEN, NAME NOT TRADEABLE AT OUR SIZE** — a diagnosis, not a trade. Ten dated predictions registered; first scoring 2026-09-21.

Contrary facts first (Darwin's rule, and they govern)

The re-rating already happened: META -26.2% over 12m vs QQQ +26.7% — a **-47.0% compounded residual at ex-ante β 1.32 = -1.28 σ** . Every flow fact below is a fact the tape has had a year to price.

THE HEADLINE STRUCTURAL FACT — the company's own bid switched off

Verbatim 10-Q Note 10 (accepted 2026-07-29): "We did not repurchase any shares of Class A common stock during the six months ended June 30, 2026." XBRL-confirmed: **\$0.000bn in Q4-25, Q1-26, Q2-26 vs \$30.125bn in FY2024**; authorization frozen at \$25.03bn since 2025-09-30. Replaced by: long-term debt **\$28.83bn → \$83.66bn in three quarters**; capex guided **\$130-145bn for 2026**; weighted-average basic shares inflected **-0.47% → +0.99% y/y — the first net dilution in years. Consequence that is a flow, not a story: the index must-trade flow FLIPPED SIGN** — cap-weighted funds now BUY at each quarterly share update where for three years they sold. Dated: reference 2026-08-14, effective open 2026-09-21. Contrary fact against the bear read: revenue +27.9% y/y — this is a capital-allocation re-rate, not a revenue one.

The insider stream, measured

Zuckerberg lifetime \$21.30bn across 755 Form-4 sale filings; disclosure lag median 2d (not an information channel); NO day-of-week pattern. **His last open-market sale: 2025-08-13 — one session after the all-time closing high, 373 days ago.** All four prior 10b5-1 plans first sold at +93/+106/+116/+125 days from adoption → no active plan since ~mid-2025. 2026 insider supply collapsed ~95% (\$148m YTD, Zuckerberg \$0). Insider selling → forward return: NULL (Spearman -0.014; cluster $t_{adj} \leq 1.24$). Form 144 (573 filings, 2023+) is the ex-ante channel — v2's first job (P7's decisive input).

What moves it — the honest factor verdict

β_{QQQ} **stable 1.03-1.28** (use 1.18 long / 1.03 one-year) but R^2 only 0.36-0.47; **residual vol ~30%/yr at every window** — two-thirds of META's variance is company-specific (why coverage can work; why an unhedged position is a large line). **XLC is the better benchmark (R^2 0.658) but BREAKS mid-sample** (2018 GICS — XLC before, XLC after, never one across). **Rate beta and dollar beta HAVE NO STABLE VALUE** — signs flip across the ladder, never 2σ from zero: "META's rate beta" is not a number this feed can produce, and any proposal pricing it as a long-duration asset asserts what our data cannot support.

When — the event calendar, placebo-controlled

Earnings (57 events): |day-0| mean 8.03% vs 1.55% baseline (last-20 median 9.48%, p10 3.90, p90 23.41); **signed day-0 NULL** ($t_{adj} +1.11$ — and the naive placebo z of +5.89 is a dispersion artifact, method lesson 11). The one $t > 2$ (a -0.77% next-day reversal vs QQQ, $t_{adj} -2.60$) halves out-of-sample and **dies on the better benchmark** (XLC $t -1.57$) — filed as calibration target P4, never a finding. Post-earnings realised vol: **1.040 vs 1.146 baseline — the panel's +6% elevation is the WRONG SIGN on this name** (its value outside our CI): do not widen earnings vol stops on META from the universe average — the coverage model earning its keep on run one. Opex-week hook (-0.116%/day, placebo z -2.01,

strengthening): **killed on power — |t|=2 needs 19.7 years**; routed to Ed cross-sectional-or-nothing. All non-earnings 8-K classes null and structurally unmeasurable ($n \leq 40$ in 14y). Next expected print: **2026-10-28, reaction 2026-10-29** (last-Wednesday rule, 11/12 recent).

THE COVERAGE MODEL'S MEASURED CEILING (new, binds the whole program)

At ~4 earnings + ~10 8-Ks per name-year, only THREE event classes reach usable n per name (earnings, opex, insider dates). Residual daily sd ~2.0% → a 0.1%/day effect needs ~1,600 observations. **Most per-name event classes are structurally unmeasurable, not merely unmeasured.** Hence the MDE rule (EVOLVE, applied): every event/calendar claim carries its minimum detectable effect, computed BEFORE the test — it decides cross-section vs bin.

The money question, plainly

Fractional equities make META positionable at \$1,885 NAV (the whole-share constraint was invented — self-caught against leanrunner.py:139-141). But the only $t > 2$ hook is worth **\$0.72/event at a 5% weight**. TRUE AND NOT TRADEABLE AT OUR SIZE. The dossier's value: the proven instrument (minutes per name), a corrected per-name vol parameter, two hooks routed to the cross-section, ten dated predictions.

THE CALIBRATION LEDGER (registered as dated desk items)

P1 earnings date/time (75%/90%/95%) · P2 |move| bands (80%/50%) · P3 declared day-0 abstention (on the record so no retro-"we knew") · P4 next-4 reversal sign (55–60%, deliberately low) · P5 Q3 buyback still \$0 (85%) · P6 share growth $> +1\%$ y/y (80%) · P7 no Zuckerberg sale before 12-31 unless a plan discloses first; adoption→first-sale in [+93,+125]d (70%) · P8 S&P share count revised UP 2026-09-21 (75%, sign only —

ownership fraction ABSENT) · P9 the opex hook will NOT reach $|t|=2$ in 12 months (90% — a prediction of its own unconfirmability) · P10 Q3 post-earnings vol at/below baseline (65%).

Self-caught errors on the record: Form-4 code-G gifts are DOUBLE-ENTRY (first pass said 36.2m shares gifted; real outbound $< 1.1\text{m}$); the signed-mean placebo z artifact. **Absent and said so:** institutional ownership (13G attribution path broken), options, intraday, consensus, borrow. **Primary record:** run run-analyst-metadossier1; **STATE + method lessons 10–11 in .claude/state/analyst.md; scripts + caches in session scratchpad meta/.**